

TENTATIVE RULINGS FOR DEPT. S36 [DATE]
BEFORE THE HONORABLE JOSEPH WIDMAN

PLEASE NOTE: There may be multiple tentative rulings so view the entire document.

ATTENTION: Commencing December 10, 2022, the Court will no longer regularly provide an official Court Reporter to transcribe proceedings in this Department. Parties who wish to have an official record of the proceedings in addition to a minute order must retain a private Certified Shorthand Reporter for the hearing and must submit a “Stipulation and Order For Appointment of Official Reporter Pro Tempore” to the court in the form found on the Court’s website. If counsel are appearing for the hearing remotely, the Stipulation can be emailed to the Judicial Assistant for Department S-36 at kkosmatka@sb-court.org. The Court may sign the Order appointing the Certified Shorthand Reporter as the official Court Reporter Pro Tempore. Parties who do not retain a Certified Shorthand Reporter to be designated as an official Court Reporter Pro Tempore are deemed to have waived an official Court Reporter for the proceeding.

REFER TO THE GENERAL ORDERS AND FORMS POSTED ON THE COURT’S WEBSITE.

This Court follows California Rules of Court, rule 3.1308(b) for tentative rulings. (See San Bernardino Superior Court Local Emergency Rule 8.) Tentative rulings are posted on the court’s website after 3:00 p.m. the day before the hearing at [Tentative Rulings | Superior Court of California | County of San Bernardino](#)

You may appear by remote appearance at the hearing. (<https://www.zoomgov.com/my/dept.s36>)

You must appear at the hearing, unless ordered otherwise, prepared to address the issues set forth by the court in its ruling.

UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF RULING

SUPERIOR COURT OF THE STATE OF CALIFORNIA
FOR THE COUNTY OF SAN BERNARDINO

JEFRY REYES, ANA GUARDADO,

Plaintiffs,

v.

DANIEL MAURICE VILLALBA,

Defendant.

Case No.: CIVSB2519702

**[TENTATIVE] ORDER DENYING
DEFENDANT'S MOTION TO SET
ASIDE DEFAULT**

I. INTRODUCTION

This litigation concerns title and rights to real property. On July 8, 2025, Plaintiffs Jefry Reyes and Ana Guardado filed their Complaint against Defendant Daniel Maurice Villalba. The Complaint pleads 7 causes of action: (1) promissory fraud, (2) quiet title, (3) constructive trust, (4) declaratory relief, (5) accounting, (6) conversion, and (7) money had and received. Defendant Villalba defaulted on August 29, 2025.

A. Complaint's Allegations

The Complaint alleges that on September 20, 2020, Reyes and Guardado entered into a contract with Villalba to purchase the property at 6995 Summit Valley Rd., Hesperia (Subject Property). They would pay \$250,000 in cash, and pay the monthly mortgage payment amount to Villalba. In exchange, Villalba would quitclaim the Subject Property to Reyes and Guardado. Despite Plaintiffs complying with their obligations, Defendant did not transfer the title in the property to them or apply their monthly payments to the mortgage (§§ 6-8, 10).

B. Pending Motion

Defendant Villalba seeks to set aside his default, based upon equitable mistake. Plaintiffs Reyes and Guardado oppose. After issuing a tentative ruling and holding a hearing on the motion, the Court now issues its final ruling.

II. APPLICABLE LAW

A motion to set aside is premised on Code of Civil Procedure sections 473, subdivisions (b) or (d), or 473.5, or on extrinsic grounds.

A court has broad discretion to vacate a default judgment, default, or order; however, said discretion can only be exercised if the moving party establishes a proper ground for relief, by proper procedure, and within the appropriate periods. (*Cruz v. Fagor America Inc.* (2007) 146 Cal.App.4th 488, 495.) The law strongly favors trials on the merits, so any doubts about setting aside a default must be resolved in favor of the party seeking such relief. (*Elston v. City of Turlock* (1985) 38 Cal.3d 227, 233.) When the defaulting party moves promptly to seek relief, and the opposing party has or will suffer little prejudice, very slight evidence is required to justify setting aside a default. (*Ibid.*; *Shamblin v. Brattain* (1988) 44 Cal.3d 474, 478.)

Three essential requirements must be met to obtain equitable relief: (1) a meritorious defense, (2) a satisfactory excuse for not presenting a defense to the original action, and

(3) diligence in seeking to set aside the default once it was discovered. (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 982.) A party seeking relief under the Court's equitable extrinsic powers must make a stronger showing than would be necessary for relief under Code of Civil Procedure section 473. (*Gibble v. Car-Lene Research, Inc.* (1998) 67 Cal.App.4th 295, 314-15.) No time limit exists for setting aside a default because of extrinsic mistake/fraud. (*Manson, Iver & York v. Black* (2009) 176 Cal.App.4th 36, 47.)

The Court has the inherent equitable power to grant relief from a default when there is a showing of extrinsic fraud or mistake. (*Weitz v. Yankosky* (1966) 63 Cal.2d 849, 855; *Olivera v. Grace* (1942) 19 Cal.2d 570, 575-76.) Extrinsic fraud results when a party is denied the opportunity to present his claim or defense to the court, *i.e.*, where he was kept in ignorance or some other manner fraudulently prevented from fully participating in the proceedings. (*In re Marriage of Stevenot* (1984) 154 Cal.App.3d 1051, 1068.) Extrinsic mistake involves the excusable neglect of a party when the neglect results in an unjust judgment, without a fair adversary hearing, and the basis for equitable relief is present. (*Rappleyea, supra*, 8 Cal.4th at p. 981; *Manson, Iver & York v. Black* (2009) 176 Cal.App.4th 36, 47.) Examples of extrinsic mistakes are “[a] party becomes incompetent but no guardian ad litem is appointed [citations]; when one party relies on another to defend [citations]; when there is reliance on an attorney who becomes incapacitated to act [citations]; when a mistake led a court to do what it never intended [citations]; when a mistaken belief of one party prevented proper notice of the action [citations]; or when the complaining party was disabled at the time the judgment was entered [citations].” Relief has also been extended to cases involving negligence of a party’s attorney in not properly filing an answer [citations]; and mistaken belief as to immunity from suit [citation].” (*Kulcher v. Kulcher* (1969) 1 Cal.3d 467, 471-72 [*Kulcher*].)

III. WHY THE MOTION SHOULD BE DENIED

Defendant Villalba attests that he owns the Subject Property. Plaintiffs Reyes and Guardado occupy it under a verbal arrangement, which included a potential right to purchase. However, a dispute arose between themselves on their full performance and entitlement to title. (Villalba Decl. at ¶¶ 2-4.) Villalba attests that Reyes and Guardado were frequently late with their payments, fell behind during extended periods, and stopped making payments. (Villalba Decl. at ¶ 5.) On July 24, 2025, the parties signed Addendum No. 1, which Villalba believed was a settlement agreement where the Subject Property would be sold, and Plaintiffs would be paid \$240,000 from the sale proceeds. The parties would sell the property rather than continue pursuing litigation. Villalba did not understand that Reyes and Guardado would pursue his default judgment and acquire the Subject Property while in dispute over payment obligations, sales terms, escrow issues, and the effect of the signing of the Addendum No. 1. (Villalba Decl. at ¶¶ 8-11.) Villalba attests that he has meritorious defenses that include statute of frauds, consideration, breach, unclean hands, waiver, and estoppel. (Villalba Decl. at ¶ 18.) He is ready to file a demurrer to challenge the sufficiency of the Complaint. (Exh. K to Stelnick's Decl.) Finally, he notes he moved to set aside his default soon after he received a copy of Plaintiffs' default packet on May 11, 2026. (Villalba Decl. at ¶¶ 14-15; Stelnick Decl. at ¶ 10, Exh. E.)

Plaintiffs note that Defendant Villalba has been on notice that he has been in default since September 8, 2025, when counsel emailed him that he was in default. His default was reiterated in an email sent on February 20, 2026. Defense counsel recognized the default existed when she responded to the February 20 email on March 5, 2026. (Chemerinski Decl. at ¶¶ 5, 7-9, Exhs. A, C, & E.)

Although Defendant submits facts suggesting that he may have a meritorious defense, Defendant has not established that he has a satisfactory excuse for not responding to the lawsuit, nor that he exercised diligence since learning that he was in default.

First, contrary to Defendant's position, although he may have moved diligently after service of the default packet to seek to set aside his default, he did not move diligently after being made aware, as early as September 2025, that he was in default. Defense Counsel even recognized the default existed in March 2026 but made no effort to set aside the default until May 2026, and only after a default judgment packet was served. This does not demonstrate diligence in seeking to set aside the default upon being expressly made aware of its entry in September 2025, and again in February 2026.

Second, Villalba does not provide a satisfactory excuse for not responding to the Summons and Complaint. Per the evidence, Villalba made an erroneous assumption that nothing would occur in the litigation while the parties were actively disputing title issues. But the point of the litigation was to resolve those disputed title issues. Villalba also states that he believed the signing of Addendum No. 1 on July 24, 2025 constituted a settlement. Without determining whether it was a settlement or not, no evidence is offered that Plaintiffs agreed, in association with signing the Addendum, that they would dismiss this litigation. Furthermore, after this purported settlement, Villalba was made aware that his default was entered in this litigation. The entry of the default would raise doubt that Plaintiffs were foregoing the pursuit of their claims in this litigation against Villalba.

The facts and evidence support that Villalba decided not to respond to the Summons and Complaint and raise any challenges to Plaintiffs seeking to acquire title in the Subject Property. This is not a case where he could not respond; was relying on his attorney or third party to

respond and they failed to do so; or was kept mistakenly ignorant of the lawsuit. Extrinsic mistake is not proper “if a party has been given notice of an action and has not been prevented from participating therein. He has had an opportunity to present his case to the court and to protect himself from mistake or from any fraud attempted by his adversary.” (*Kulcher, supra*, 1 Cal.3d at p. 472.)

Finally, Defendant argues that statutory protections exist concerning quiet title cause of action. While these protections apply, they do not warrant granting this motion; rather, they grant Defendant the limited right to participate in open court despite his default. If a defaulted defendant appears prior to judgment, the court must hear admissible evidence offered by that party regarding its claims (*Id.* at p. 1504; *Paterra v. Hansen* (2021) 64 Cal.App.5th 507, 532).

IV. CONCLUSION

Defendant Villalba’s Motion to Set Aside is DENIED. Defendant fails to establish a satisfactory extrinsic mistake and due diligence in seeking to set aside his default upon being informed of its entry.

IT IS SO ORDERED.

Dated: _____

[TENTATIVE – NOT FINAL]
Hon. Joseph B. Widman
Judge of the Superior Court